

WRITTEN QUESTIONS (TOTAL: 100 MARKS)

You should allocate approximately 3 hours in total for SIX compulsory written questions in this examination (i.e. approximately 1.8 minutes for each mark).

Question 1 (20 marks – approximately 36 minutes)

You are required to complete the following tasks in this question:

- (a) In relation to the employment law in Hong Kong, explain the fiduciary duties owed by an employee to his/ her employer and analyse whether John's act of disclosing confidential information of his employer High Tech Company Limited ("HTL") to WinWin Company Limited ("WWL") and his diverting of HTL's business opportunities to WWL amounted to a breach of any fiduciary duties owed to HTL, as well as the legal consequences, if any. *(10 marks)*
- (b) Apply anti-corruption laws in Hong Kong and analyse whether John may have committed any criminal offence by offering a monetary reward to Beatrice. *(5 marks)*
- (c) Regardless of your answer in part (a), explain to HTL which court/ tribunal will hear its case if HTL wishes to sue John for damages in the amount of HK\$2.5 million. *(5 marks)*

Case Background:

John is a software engineer, who was hired by High Tech Company Limited ("HTL") two years ago as Sales Manager due to his rich experience and connections in the software industry. John was popular with HTL's clients who had great respect for his industry experience. Matthew, the Managing Director of HTL, was quite satisfied with John's work performance too.

A few months ago, John managed to persuade a substantial client, Great Advance Company Limited ("GAL") to enter into a Service Agreement with HTL pursuant to which HTL was engaged to be GAL's exclusive service provider of software applications.

One day, John and Matthew had a heated argument about HTL's future company strategy and the relationship between John and Matthew turned sour.

John then decided to resign from his position. Before he tendered his resignation, John approached Beatrice, the Marketing Director of GAL, to persuade her to terminate the Service Agreement with HTL and engage Great Prospects Company Limited ("GPL"), a private limited company newly incorporated by him, to be GAL's exclusive service provider of software applications. Although Beatrice had high regard for John's knowledge and experience in the software industry, she hesitated to engage a newly incorporated company to be GAL's exclusive service provider of software applications. John then offered to give a monetary reward to Beatrice in return for GAL's engaging GPL to be its exclusive service provider of software applications.

Furthermore, it was found that John had disclosed some confidential information of HTL to another company, WinWin Company Limited ("WWL") and diverted some of HTL's business opportunities to WWL.

* * * END OF SCENARIO * * *

Question 2 (15 marks – approximately 27 minutes)

You are required to complete the following tasks in this question:

In relation to the contract law in Hong Kong:

- (a) Explain the different ways to discharge a contract. (10 marks)
- (b) Analyse whether the tenancy agreement entered into between Sam and Mrs Rich was frustrated by the fire which had resulted in reduced pedestrian flows and reduced business. (5 marks)

Case Background:

After having worked as a chef at a hotel for a few years, Sam decided to open his own restaurant. About a year ago, Sam entered into a tenancy agreement with Mrs Rich pursuant to which Mrs Rich leased to Sam a shop in a mall at Causeway Bay. Due to the weak economy, Sam's restaurant business was not very good. One day, a fire accidentally broke out and as a result the mall had to be closed for about two weeks. Sam's shop was not badly damaged by the fire but he wishes to stop paying the rent and rates soon after the fire.

Soon after the re-opening of the mall, Sam asked his landlord Mrs Rich for a 50% reduction in rent on the grounds of reduced pedestrian flows which made doing business very difficult. While Sam was having a chat with a friend who was a lawyer, he was advised that a contract could be discharged by frustration. When Mrs Rich refused Sam's request, Sam stopped paying the rent and rates. Later Mrs Rich threatened to sue Sam for the outstanding rent and rates, Sam argued that the tenancy agreement he had entered into with Mrs Rich was frustrated due to the temporary closure of the mall which in turn led to reduced pedestrian flows and therefore reduced business. Sam also alleged that there were structural defects in the mall without providing any proof for this allegation.

* * * END OF SCENARIO * * *

Question 3 (25 marks – approximately 45 minutes)

You are required to complete the following tasks in this question:

- (a) In relation to agency law, explain what the ways to create an agency are. (4 marks)
- (b) In relation to agency law, analyse whether Super Technology Company Limited can be held liable for damages for the disruption to High Success Company Limited's business operation. (6 marks)
- (c) In relation to the law of tort, analyse whether Peter can file a claim against Victor for damages on the grounds of negligence. (10 marks)
- (d) In relation to the law of tort, analyse whether Victor can be held liable for the total amount of medical expenses incurred by Peter during Peter's hospitalisation at Good Care Hospital. (5 marks)

Case Background:

About a year ago, Winnie set up a private limited company, Super Technology Company Limited ("STL"), to offer user-friendly and innovative artificial intelligence ("AI") solutions such as automation business solutions to various sectors and industries. A few months ago, Winnie asked her nephew Victor, who had just got his master's degree in computer engineering, to visit STL to show him what kind of business she was engaged in. Victor showed great interest in the business of STL and Winnie asked Victor to accompany her to visit some of her clients. Winnie allowed Victor to take part in designing AI solutions for a few clients although Victor was not hired as an employee of STL. Victor was even permitted to contact a few clients of STL directly. Mrs Nice, the Managing Director of one of STL's clients, High Success Company Limited ("HSL"), had high regard for Victor's work. Mrs Nice suggested to Winnie that Victor should create and design AI solutions for full automation of HSL. Winnie agreed to let Victor take up this project on his own without telling Mrs Nice that Victor was not an employee of STL. Victor assured Mrs Nice that she could leave the entire project to him without any assistance from her staff.

As Victor was eager to complete this project as quickly as he could, he did not test his solutions thoroughly. Furthermore, Victor negligently failed to ask the staff of HSL to make a full back up of HSL's data before he started trial runs of his solutions on HSL's computer system. The trial runs resulted in considerable loss of HSL's data, which caused serious disruption of HSL's business. Mrs Nice was terribly upset and subsequently sought legal advice on whether to file a claim against STL for damages for the loss sustained by HSL as a result of the disruption to its business operation.

Victor was devastated by the failure of this project. As Victor was under great pressure to recover the lost data for HSL, he kept thinking about this matter. One day, when Victor was driving to get home, he kept thinking about how he could recover HSL's lost data. As Victor did not stay focused while he was driving, he ran through a red light and hit a pedestrian, Peter. Peter's legs were injured.

While Peter was recovering from his leg injury at the hospital, Good Care Hospital ("GCH"), a nurse called Lily gave him an overdose of medicine which caused him to fall into a coma. As a result, Peter had to stay at GCH for two additional months before he fully recovered. The total amount of medical expenses incurred by Peter was about HK\$1 million.

* * * END OF SCENARIO * * *

Question 4 (20 marks – approximately 36 minutes)

You are required to complete the following tasks in this question:

In relation to Hong Kong company law:

- (a) Explain how a company can apply for dormant status and what the advantages of being a dormant company are. (6 marks)
- (b) Explain the requirements and procedures for deregistering a company. (6 marks)
- (c) Explain the procedures as to how High Precision Company Limited can be dissolved. (8 marks)

Case Background:

Leo and Janice are good friends. Leo is an Interior Designer. He incorporated a private company, Versatile Design Company Limited ("VDL"), to run his interior design business about eight months ago. Janice is an AI Solutions Engineer. She incorporated a private company, High Precision Company Limited ("HPL") about two years ago to provide AI solutions to various industries in Hong Kong. HPL has been profitable since its incorporation.

Owing to the sluggish property market, VDL has not got any business since its incorporation. Leo is very upset and is considering closing his business. Leo's sister Lucy, who is a lawyer, suggested the following to him:

- (i) Leo's company should apply for a dormant status so that Leo can save some costs while waiting for the property market to recover.
- (ii) Leo can dissolve his company by de-registration to minimise his losses if he is tired of waiting for the property market to recover.

A few days ago, Janice called Leo to tell him that she would be leaving Hong Kong for good in order to look after her parents who emigrated to Canada a few years ago. Knowing that Lucy is a lawyer, Janice would like Leo to ask Lucy how to dissolve her company HPL which is solvent and still in normal operation.

* * * END OF SCENARIO * * *

Question 5 (10 marks – approximately 18 minutes)

You are required to complete the following tasks in this question:

In relation to partnership law in Hong Kong:

- (a) Explain to Chloe what the duties and liabilities of partners of a general partnership are. (6 marks)
- (b) Analyse whether Mr Mean is entitled to choose to sue Peter only but not the other partners, Sylvia and John, for damages and whether Peter will be able to recover from Sylvia and John the amount of damages which he has to pay to Mr Mean on their behalf. (4 marks)

Case Background:

After graduating from her interior design studies with distinction at a local university a few months ago, Chloe was invited by Peter, a good friend of Chloe's cousin, to join as partner of a general partnership, Magnificent Design Studio ("MDS"), set up by Peter and two of his friends, Sylvia and John, a few years ago. Chloe is not sure whether to accept Peter's offer as Chloe has no idea of what the duties and liabilities of a partner of a general partnership are.

Due to the negligence recently committed by Sylvia and John while working on a design project commissioned by a client Mr Mean, Mr Mean has sustained loss of HK\$2 million and has asked MDS for compensation. However, MDS does not have funds or assets to pay this amount. Knowing that Peter comes from a rich family and has just inherited a huge amount of money from his grandfather, Mr Mean plans to commence legal proceedings only against Peter for damages of HK\$2 million.

* * * END OF SCENARIO * * *

Question 6 (10 marks – approximately 18 minutes)

You are required to complete the following tasks in this question:

In relation to Hong Kong securities law:

Analyse whether Maggie, Sam and Nancy may be liable for any criminal/ civil offence. (10 marks)

Case Background:

A few months ago, Maggie, the Managing Director of Healthy and Goodie Company Limited ("HGL"), a company listed on the GEM Board of the Stock Exchange of Hong Kong engaged in sale and purchase of health supplements, was actively involved in negotiations about the acquisition of a majority stake in HGL by High Win Company Limited, a wholly owned subsidiary of a company listed in the Stock Exchange of Shanghai.

Maggie expected the share price of HGL to rise substantially if the acquisition could materialise. Therefore, she bought a substantial number of shares of HGL through the securities accounts of her brother Sam and Sam's wife Nancy during the period of negotiations when the news about the acquisition was not yet announced.

Both Sam and Nancy allowed Maggie to operate and control their securities accounts. Sam also bought some shares of HGL through his own securities account. A few weeks ago, the acquisition of shares of HGL was completed and announced. Subsequently, the price of the shares of HGL rose substantially. Maggie sold all the shares of HGL which she had bought and made a handsome profit of about HK\$5 million.

The Securities and Futures Commission has recently started to conduct investigations into Maggie's purchase and sale of the shares of HGL. Maggie and Sam are now very worried. Nancy is not worried because she may raise the defence that she was busy looking after her sick mother in the last few months and was not concerned about what shares were bought or sold through her securities account.

* * * END OF SCENARIO * * *

* * * END OF EXAMINATION PAPER * * *